

Shareholder Agreement (Buy-Sell / Deadlock Provisions)

Faithways Studio, Inc., a Colorado public benefit corporation · Between Mark Chadwick and Susan Chadwick, its two shareholders

1. Purpose

This Agreement supplements the Bylaws and does not modify or weaken Article IV of the Articles of Incorporation (the Foundational Commitments / mission lock) in any way. Nothing in this Agreement authorizes any action that Article IV's amendment-protection provision would otherwise require a four-fifths (4/5) vote of shares to approve; where this Agreement and Article IV conflict, Article IV controls.

For purposes of this Agreement, "change-of-control transaction" means any merger, conversion, share exchange, sale of all or substantially all of the corporation's assets, dissolution, or other transaction or corporate action described in Article IV of the Articles of Incorporation.

This Agreement governs only for so long as Mark Chadwick and Susan Chadwick are the sole shareholders of the corporation. Any issuance or transfer of shares to a third party is conditioned on that person executing a joinder to this Agreement, or on the shareholders amending this Agreement to address the resulting ownership structure, before the issuance or transfer is completed.

2. Transfer restrictions — right of first refusal

Neither shareholder may sell, gift, pledge, or otherwise transfer any shares to a third party without first offering them to the other shareholder on the same price and terms ("ROFR"). The other shareholder has **45 days** to accept the offer, in whole or in part; if declined or only partly taken up, the transferring shareholder may complete the transfer to the originally proposed third party, on the same terms, within **90 days**, or the ROFR process restarts.

Transfers to a spouse, child, or a trust for estate-planning purposes do not trigger a full ROFR, but the transferee must agree in writing to be bound by this Agreement.

3. Deadlock resolution

Mark and Susan resolve ordinary disagreements directly, as they always have. For a board-level matter, the Chair's tie-breaking vote (Bylaws Article 3.1) resolves any deadlock. This does not extend to, and cannot be used to force, any sale, merger, dissolution, or other change-of-control transaction, or any matter that would itself require the four-fifths vote under Article IV of the Articles of Incorporation — those are governed exclusively by Section 4 below.

4. Change-of-control default, and buyout events

A sale, merger, dissolution, or other change-of-control transaction shall occur only with the mutual consent of both shareholders. If mutual consent is not reached, the corporation shall continue to operate under its current ownership; neither shareholder may be compelled to sell their shares, and the corporation may not be compelled to pursue such a transaction, as a result of this Agreement. A buyout of a shareholder's shares under this Agreement occurs only upon the specific events set forth in Section 5 (death or permanent disability), using the valuation method set forth in Section 6.

5. Death or permanent disability

This Agreement does not require a buyout on the death or permanent disability of either shareholder. If one shareholder dies, that shareholder's shares pass to the surviving spouse, and the corporation continues to operate as before. If both shareholders die, their shares pass to their children (or as otherwise directed by their estate plans), remain subject to this Agreement, and the corporation continues to operate. If the corporation's shares become significantly valuable, the shareholders, or after both have passed their children, may establish a trust to hold the shares, at whatever point they judge it worthwhile. Neither a trust nor any other estate-planning arrangement is required by this Agreement, and none needs to be decided now.

6. Valuation method

If the shareholders ever voluntarily agree to a buyout under this Agreement, share value is whatever the shareholders agree to at that time, or, absent agreement, the value set by a single independent appraiser both shareholders select. No valuation formula needs to be fixed in advance, since no buyout is required or automatic under this Agreement.

7. Confidentiality and non-disparagement

Both shareholders agree to keep the terms of any dispute, mediation, or buyout confidential, and not to disparage the corporation, its mission, or each other in connection with any transfer under this Agreement.

8. Governing law and amendment

This Agreement is governed by Colorado law. It may be amended only by written agreement of both shareholders, and no amendment may weaken or circumvent Article IV of the Articles of Incorporation.

Signatures

Signature: _____

Printed name: Mark Chadwick

Date: _____

Signature: _____

Printed name: Susan Chadwick

Date: _____